

KOCHOUSEPH CHITTILAPPILLY

58, VOLTAGE STABILISER MANUFACTURER
MANAGING DIRECTOR, V - G U A R D
INITIAL INVESTMENT IN 1977 Rs 1 lakh
CURRENT TURNOVER Rs 300 crore

AGAINST THE CURRENT

Born into a middle class farmer's family and schooled in a Malayalam medium school in Parappur village in Kerala's Thrissur district, Kochouseph Chittilappilly never dreamt that one day he would become a successful businessman. But by the time the quiet, studious boy completed his masters in physics in 1970 from Thrissur's St. Thomas College, he was gripped by just one ambition—to become a scientist.

"After getting an M Sc degree, I wanted a job very badly and could not wait," says Chittilappilly about joining as a supervisor trainee in Telics, a new medium-scale company in Thiruvananthapuram promoted by the state government to make electronic stabilisers. His first stipend at Telics was Rs 150 a month. By the time he left the company as a supervisor in 1977, he was getting Rs 700 per month.

"The company was not a big success, but the experience was tremendous," remembers Chittilappilly, who stunned his family by deciding to quit three years into the job and venture into business. "Though my father was not too happy with my decision, he had confidence in me," he remembers. The evidence was the Rs 1-lakh loan from him in 1977. With the money and two local boys, Chittilappilly "took a friend's small garage as an office-cum-factory-cum-room and set up a voltage stabiliser firm called V-Guard, meaning voltage guard".

V-Guard Industries' initial production was 50 stabilisers a month, manufactured by the trio. Chittilappilly ferried his products in Thiruvananthapuram on a Lambretta scooter, hardselling his wares. "My product was slightly costlier than others in the market. But my stabiliser was better and justified the price. I managed to convince most buyers," he says. The next month he sold all the stabilisers.

The next tidal wave was brought about by the television boom of the 1980s. V-Guard couldn't even meet the enormous demand as remittances made tv sets a necessity in most Kerala homes. But along with success came the state's characteristic problems of labour militancy. Chittilappilly was innovative enough to

survive this. Instead of increasing the regular labour force, Chittilappilly entrusted manufacturing to charitable societies whose members assembled the machines in cottage industry units which were strictly monitored for quality by V-Guard's experts.

Today, V-Guard claims a customer base of over four crore spanning household goods like electric pumps, electric and solar water heaters, cables, UPS, ceiling fans and stabilisers. It now employs about 2,000 people and has a turnover of over Rs 300 crore. V-Guard went public this year raising Rs 70 crore from its initial public offer of 80 lakh shares listed in the National and Mumbai stock exchanges. "We were oversubscribed by more than twice, a clear proof for the trust we enjoy," says Chittilappilly. "It also underlined the policy of transparency, honesty and quality. Our products do not come cheap," says Chittilappilly, who has also written a book called *Practical Wisdom*. He was the state's highest taxpayer for three consecutive years from 1994-99, paying Rs 1.13 crore in a single year.

In 2000, V-Guard set up the Rs 60-crore Vee-galand, a world-class water amusement park near Kochi and the Rs 85-crore Wonder La near Bangalore. Vee-galand is the country's first amusement park to be awarded the ISO 14001-2004 for environmental friendliness and conservation of natural resources. Chittilappilly plans to set up another amusement park near Chennai. The V-Guard group of companies also include V-Star Creations headed by Chittilappilly's wife Sheila, which specialises in branded women's garments and men's undergarments. Another company Vinites Solutions, which specialises in IT and MIS, is led by his two sons, Arun and Mithun. The family that works together stays together. **by M.G. Radhakrishnan**

WHEN HE STARTED,
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V-GUARD HAS A
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RS 300 CRORE.

turning POINT

Giving up his Rs 700
per month job to set up
a factory in a garage

biggest OBSTACLE

Kerala's militant unions
which he overcame by
outsourcing work

on their GROWTH

His company went
public this year raising
Rs 70 crore